

MGT 816 · The Private Firm CFO

Soo · CFO Toolkit Bootcamp — Solutions

Posted after class — all three sections

Fri September 4, 2026 · Yale SOM

Poll: the August invoice

SixWings invoiced a customer **\$4,000 in August** (service fully delivered in August). The cash arrives in **September**. On SEPTEMBER's financial statements, this cash shows up as—

- A) September revenue
- B) Other income
- C) An operating cash inflow — but no September revenue
- D) Deferred revenue

Poll answer: cash yes, revenue no

SixWings invoiced \$4,000 in August (delivered in August); cash arrives in September. On September's statements it shows up as—

C.

Revenue was earned — and recognized — in August. September just converts Accounts Receivable into Cash (Dr Cash / Cr AR). Collection is never second revenue.

If the cash had arrived BEFORE the work: that's Deferred Revenue — a liability, because you owe the work.

JE drill: SixWings' first month [Section 1]

Task: On the half-sheet, for each of the 6 transactions: write the journal entry (or the $A = L + SE$ line), then build the mini income statement and balance sheet and CHECK that $A = L + SE$.

T1 Founders contribute **\$50,000** cash for common stock

T2 Buy laptops for **\$6,000** cash

T3 Invoice a customer **\$8,000** for September services (on account)

T4 Collect **half** of that invoice

T5 Receive **\$9,000** cash prepayment for Oct–Dec services

T6 Pay September wages of **\$10,000** in cash; **\$2,000** more of September wages remain unpaid at month-end

Time box: 8 minutes, solo or pairs. Deliverable: the half-sheet (not collected).

[Section 1] $X=50,000 \cdot A=6,000 \cdot B=8,000 \cdot C=9,000 \cdot D=10,000 \cdot E=2,000$

JE drill answers: post it, then tie it out [Section 1]

The six entries

T1 Dr Cash 50,000 / Cr Common Stock 50,000

T2 Dr Equipment 6,000 / Cr Cash 6,000

T3 Dr AR 8,000 / Cr Revenue 8,000

T4 Dr Cash 4,000 / Cr AR 4,000 **(no revenue)**

T5 Dr Cash 9,000 / Cr Deferred Revenue 9,000 **(liability)**

T6 Dr Wages Expense 12,000 /
Cr Cash 10,000 / Cr Wages Payable 2,000

Tie-out

I/S: Revenue 8,000 – Wages 12,000 = **Net loss (4,000)**

B/S: Cash 47,000 · AR 4,000 · Equipment 6,000 → **Assets 57,000**

Deferred Rev 9,000 + Wages Payable 2,000 = **Liabilities 11,000**

Common Stock 50,000 + Retained Earnings (4,000) = **Equity 46,000**

Check: ✓ 57,000 = 11,000 + 46,000

Operating cash: **+3,000** while NI = **(4,000)**

Net income negative, operating cash positive — same month, same company. This is why So1 taught burn on CASH and why the cash flow statement exists.

JE drill: SixWings' first month [Section 2]

Task: On the half-sheet, for each of the 6 transactions: write the journal entry (or the $A = L + SE$ line), then build the mini income statement and balance sheet and CHECK that $A = L + SE$.

T1 Founders contribute **\$60,000** cash for common stock

T2 Buy laptops for **\$8,000** cash

T3 Invoice a customer **\$12,000** for September services (on account)

T4 Collect **half** of that invoice

T5 Receive **\$6,000** cash prepayment for Oct–Dec services

T6 Pay September wages of **\$11,000** in cash; **\$3,000** more of September wages remain unpaid at month-end

Time box: 8 minutes, solo or pairs. Deliverable: the half-sheet (not collected).

[Section 2] $X=60,000 \cdot A=8,000 \cdot B=12,000 \cdot C=6,000 \cdot D=11,000 \cdot E=3,000$

JE drill answers: post it, then tie it out [Section 2]

The six entries

T1 Dr Cash 60,000 / Cr Common Stock 60,000

T2 Dr Equipment 8,000 / Cr Cash 8,000

T3 Dr AR 12,000 / Cr Revenue 12,000

T4 Dr Cash 6,000 / Cr AR 6,000 **(no revenue)**

T5 Dr Cash 6,000 / Cr Deferred Revenue 6,000 **(liability)**

T6 Dr Wages Expense 14,000 /
Cr Cash 11,000 / Cr Wages Payable 3,000

Tie-out

I/S: Revenue 12,000 – Wages 14,000 = **Net loss (2,000)**

B/S: Cash 53,000 · AR 6,000 · Equipment 8,000 → **Assets 67,000**

Deferred Rev 6,000 + Wages Payable 3,000 = **Liabilities 9,000**

Common Stock 60,000 + Retained Earnings (2,000) = **Equity 58,000**

Check: ✓ 67,000 = 9,000 + 58,000

Operating cash: **+1,000** while NI = **(2,000)**

Net income negative, operating cash positive — same month, same company. This is why So1 taught burn on CASH and why the cash flow statement exists.

JE drill: SixWings' first month [Section 3]

Task: On the half-sheet, for each of the 6 transactions: write the journal entry (or the $A = L + SE$ line), then build the mini income statement and balance sheet and CHECK that $A = L + SE$.

T1 Founders contribute **\$40,000** cash for common stock

T2 Buy laptops for **\$5,000** cash

T3 Invoice a customer **\$10,000** for September services (on account)

T4 Collect **half** of that invoice

T5 Receive **\$12,000** cash prepayment for Oct–Dec services

T6 Pay September wages of **\$9,000** in cash; **\$3,000** more of September wages remain unpaid at month-end

Time box: 8 minutes, solo or pairs. Deliverable: the half-sheet (not collected).

[Section 3] $X=40,000 \cdot A=5,000 \cdot B=10,000 \cdot C=12,000 \cdot D=9,000 \cdot E=3,000$

JE drill answers: post it, then tie it out [Section 3]

The six entries

T1 Dr Cash 40,000 / Cr Common Stock 40,000

T2 Dr Equipment 5,000 / Cr Cash 5,000

T3 Dr AR 10,000 / Cr Revenue 10,000

T4 Dr Cash 5,000 / Cr AR 5,000 **(no revenue)**

T5 Dr Cash 12,000 / Cr Deferred Revenue 12,000 **(liability)**

T6 Dr Wages Expense 12,000 /
Cr Cash 9,000 / Cr Wages Payable 3,000

Tie-out

I/S: Revenue 10,000 – Wages 12,000 = **Net loss (2,000)**

B/S: Cash 43,000 · AR 5,000 · Equipment 5,000 → **Assets 53,000**

Deferred Rev 12,000 + Wages Payable 3,000 = **Liabilities 15,000**

Common Stock 40,000 + Retained Earnings (2,000) =
Equity 38,000

Check: ✓ 53,000 = 15,000 + 38,000

Operating cash: **+8,000** while NI = **(2,000)**

Net income negative, operating cash positive — same month, same company. This is why So1 taught burn on CASH and why the cash flow statement exists.

Template check: does yours look like this? [Section 1]

Shareholder	Security	Shares	% Fully Diluted
Alex	Common	600,000	60.0%
Blair	Common	300,000	30.0%
Casey	Common	100,000	10.0%
Total		1,000,000	100.0%

Blue cells = the only things you typed. If your % column doesn't foot to 100.0%, find the hardcode.

Template check: does yours look like this? [Section 2]

Shareholder	Security	Shares	% Fully Diluted
Alex	Common	500,000	50.0%
Blair	Common	300,000	30.0%
Casey	Common	200,000	20.0%
Total		1,000,000	100.0%

Blue cells = the only things you typed. If your % column doesn't foot to 100.0%, find the hardcode.

Template check: does yours look like this? [Section 3]

Shareholder	Security	Shares	% Fully Diluted
Alex	Common	450,000	45.0%
Blair	Common	350,000	35.0%
Casey	Common	200,000	20.0%
Total		1,000,000	100.0%

Blue cells = the only things you typed. If your % column doesn't foot to 100.0%, find the hardcode.